



LOSS AVERSION AND SUNK COST FALLACY

“I will tell you how to become rich. Close the doors. Be fearful when others are greedy. Be greedy when others are fearful”

—Warren Buffet lecturing to a group
of students at Columbia University

“Most of the time, common stocks are subject to irrational and excessive price fluctuations in both directions as a consequence of the ingrained tendency of most people to speculate or gamble... to give way to hope, fear, and greed”

—Benjamin Graham

We have all heard about investors’ greed when the stock markets are in a bull phase and their fear when the markets are falling. It is important, therefore, to understand how these emotions of greed and fear impact our thinking and make us act in ways that are contrary to our financial interests. How do we make decisions when faced with risk? How do fear of losing and greed for gains impact our decision-making? This is best captured in the risk analysis expounded by Daniel Kahneman and Amos Tversky¹. Prospect Theory is one of the pillars upon which the whole of behavioural economics rests. A brief exposition of this theory will enable us to understand our strong emotions of fear and greed.

As far as our feelings toward our losses are concerned, we suffer from two behavioural anomalies: **Loss Aversion**, that is our fear of losing, and **Sunk Cost Fallacy**, that is our inability to forget money already spent.

As far as our feelings toward gains are concerned, we suffer from **Status Quo Bias**, that is our inability to make decisions, and the **Endowment Effect**, that is the tendency to fall in love with what we own and thus resist change.